

HUMAN RESOURCES

Leave Policy

Entitlements, accrual, approval workflow and encashment rules for all Nexora employees

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Document owner	Head of HR (CHRO Office)	Effective date	1 January 2026
Applies to	All permanent and probationary employees	Classification	Internal - Confidential

Abstract. This policy defines the types of leave available at Nexora Technologies, how leave accrues, who may approve it, and how unused leave is carried forward or encashed. It applies to all employees in grades G1 to G6 across the Lahore, Karachi and Islamabad offices. Leave is planned on a calendar-year basis (1 January to 31 December). Tables and figures in this document summarise the numeric limits; in case of conflict the tables prevail.

Keywords: leave policy, annual leave, sick leave, maternity leave, carry forward, encashment, approval workflow

1. Purpose and Scope

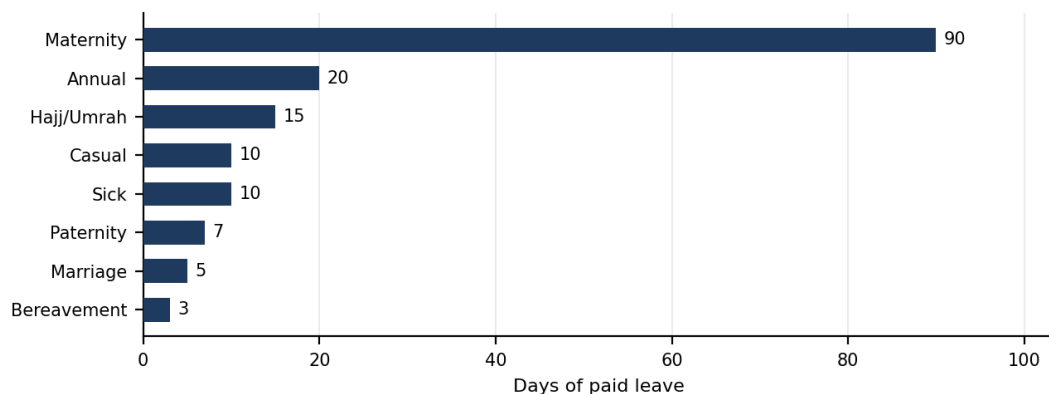
Nexora believes that rest and personal time improve the quality of engineering and customer work. The purpose of this policy is to give employees clear entitlements while giving managers enough predictability to plan delivery. The policy covers paid leave, unpaid leave, public holidays and the process for requesting and approving absence. Contract staff and interns are governed by their contract and are entitled only to leave stated in it.

2. Leave Entitlements

Table 1 lists every leave type. Entitlements are stated in working days (Monday to Friday) per calendar year unless marked one-off. Employees on probation (first 3 months) accrue leave but may only use casual and sick leave until confirmation, except with written approval from the department head.

Table 1. Leave types, entitlements and conditions.

Leave type	Entitlement	Carry forward	Conditions
Annual leave	20 days per year	Up to 10 days	Accrues at 1.67 days per month. Apply at least 3 working days in advance for up to 3 days, and 2 weeks in advance for more than 5 days.
Casual leave	10 days per year	No	Maximum 3 consecutive days. For short-notice personal matters.
Sick leave	10 days per year	No	Medical certificate required if absence exceeds 2 consecutive days. Inform the line manager before 10:00 AM on the first day.
Maternity leave	90 calendar days (paid)	Not applicable	Can start up to 4 weeks before the expected delivery date. Medical documentation required.
Paternity leave	7 working days (paid)	Not applicable	Must be taken within 30 days of the child's birth.
Marriage leave	5 working days (paid, one-off)	Not applicable	For the employee's first marriage. Submit invitation or nikah documentation.
Bereavement leave	3 days (immediate family), 1 day (extended family)	Not applicable	Immediate family: spouse, parents, children, siblings.
Hajj / Umrah leave	15 working days (paid, once)	Not applicable	After 3 completed years of service. Hajj leave is granted once in an employee's career.
Unpaid leave	Up to 30 days per year	No	Requires approval of department head and Head of HR.

**Figure 1.** Paid leave entitlement by type (days). Maternity is stated in calendar days; all others in working days. Hajj, marriage, paternity and maternity leave are event-based and not part of the yearly balance.

2.1 Annual Leave Accrual

Annual leave accrues monthly at 1.67 working days, reaching 20 days by the end of December. New joiners accrue leave from their date of joining on a pro-rata basis; joining on or before the 15th of a month counts as a full month. Figure 2 shows the cumulative balance over a full year for an employee who takes no leave.

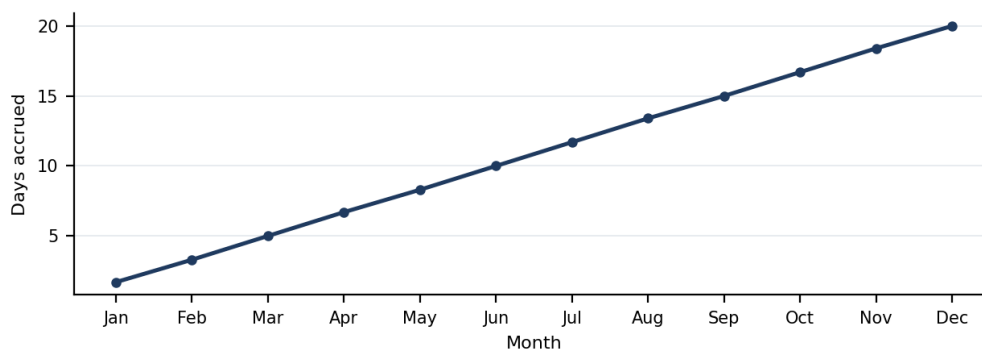


Figure 2. Cumulative annual leave accrual during a calendar year (1.67 days per month).

3. Requesting and Approving Leave

All leave is requested through the HRMS portal. Verbal approval or email alone is not sufficient for payroll purposes. The line manager must act on a request within 2 working days; requests that receive no response within that period are escalated automatically to the department head.

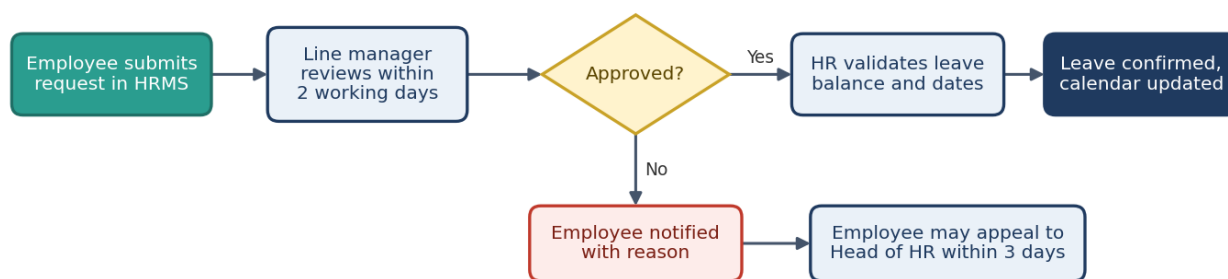


Figure 3. Leave request and approval workflow.

3.1 Approval Authority

Table 2. Approval authority by length of leave.

Duration of request	Approver(s)	Advance notice
1 to 3 working days	Line manager	3 working days (except sick and emergency)
4 to 10 working days	Line manager and department head	2 weeks
More than 10 working days	Department head and Head of HR	1 month
Sick or emergency leave	Line manager (informed same day)	Inform before 10:00 AM on the first day

Important: Absence of 3 or more consecutive working days without approval or communication is treated as unauthorised absence and may lead to action under the disciplinary process in the Employee Handbook (NX-HR-002, Section 8).

4. Carry Forward and Encashment

- A maximum of **10 days** of unused annual leave carries forward to the next calendar year and must be used by 31 March; any carried-forward balance not used by then lapses.
- Annual leave above the carry-forward cap may be **encashed** in January at the rate of monthly basic salary divided by 30 per day.
- Casual and sick leave cannot be carried forward or encashed.

- On resignation or termination, unused annual leave (up to 20 days) is encashed in the final settlement at the same rate; negative leave balance is deducted from the final settlement.
- Employees are encouraged to take at least 10 consecutive days of annual leave once a year.

5. Public Holidays

Nexora observes public holidays notified by the Government of Pakistan, including 5 February (Kashmir Day), 23 March (Pakistan Day), 1 May (Labour Day), 14 August (Independence Day), Eid ul-Fitr, Eid ul-Adha, Ashura and 25 December (Quaid-e-Azam Day). The exact calendar is published by HR each January. If an employee is required to work on a public holiday for operational reasons (for example on-call duty defined in the Deployment SOP, NX-ENG-002), a compensatory day off is granted within 30 days.

6. References

- [1] Nexora Employee Handbook, NX-HR-002, Section 4 (Working Hours and Attendance).
[2] Nexora Benefits Guide, NX-HR-003, Section 5 (Medical Insurance and Maternity Cover).
[3] Government of Pakistan, Cabinet Division: annual notification of public holidays.

7. Revision History

Table 3. Document revision history.

Version	Date	Author	Summary of change
1.0	01 Jan 2023	Nexora HR Policy Committee	Initial release
2.0	01 Jan 2024	Nexora HR Policy Committee	Added Hajj/Umrah leave; raised carry forward from 5 to 10 days
3.0	01 Jan 2026	Nexora HR Policy Committee	Introduced encashment rate, approval matrix and escalation after 2 working days